Nepal Chartered Accountants Act, 2053 and Regulation, 2061



COMPLETE CHAPTER-WISE, SECTION-WISE COVERAGE INCLUDING RELEVANT REGULATIONS

- EASY TO UNDERSTAND EXPLANATIONS
- COVERS ALL CHAPTERS & SECTIONS
- INCLUDES RELEVANT REGULATIONS

SAMPLE COVERAGE OF CAP III CA MEMBERSHIP

+ RTP SUGGESTED ANSWERS

- FOR CA STUDENTS, ASPIRANTS & PROFESSIONALS
- EXAM FOCUSED CONTENT
- CONCEPTUAL CLARITY
- SAVE TIME STUDY SMART

IN THIS PPT...

- Introduction to Nepal Chartered Accountants Act 2053 and Regulations, 2061
- List of Chapters and Sections
- Section wise coverage with relevant regulations
- Suggested Answers CAPIII & CA Membership Exams

Introduction to Nepal Chartered Accountants Act, 2053 & Chartered Accountants Regulations, 2061



The Foundation of Nepal's Professional Accounting & Auditing Framework

BACKGROUND

The **Nepal Chartered Accountants Act, 2053** was enacted to:

- Regulate the accounting and auditing profession in Nepal
- Establish the Institute of Chartered Accountants of Nepal (ICAN)
- Maintain professional standards, ethics, and discipline

The **Chartered Accountants Regulations, 2061** provide:

- Detailed operational procedures
- Membership and licensing requirements
- Examination and training provisions
- Code of conduct and disciplinary framework

OBJECTIVES OF THE ACT

- Regulate the accounting profession in Nepal
- Ensure professional competence and ethical conduct
- Conduct CA education, examinations, and practical training
- Maintain quality in audit and assurance services
- Protect public interest and strengthen financial reporting

KEY AREAS COVERED

- Constitution and powers of ICAN
- Registration and membership provisions
- CA examinations and practical training
- Certificate of Practice (COP)
- Professional misconduct and disciplinary actions
- Standards on accounting, auditing, and ethics
- Regulations relating to firms and practitioners

REGULATORY FRAMEWORK

Nepal Chartered Accountants Act, 2053
Main governing legislation

Chartered Accountants Regulations, 2061
Detailed implementation procedures

ICAN Directives & Guidelines
Operational and professional guidance

IMPORTANCE



The Act and Regulations form the foundation of Nepal's professional accounting and auditing framework and align the profession with international standards and best practices.

INTEGRITY
Upholding ethical standards

COMPETENCE
Ensuring professional excellence

ACCOUNTABILITY
Serving the public interest

TRANSPARENCY
Enhancing trust and quality

PROFESSIONALISM
Committed to continuous improvement

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
1	Preliminary	1	Short Title and Commencement
		2	Definitions
2	Establishment of the Institute	3	Establishment of the Institute
		4	The Institute to be an Autonomous Body
		5	Objective of the Institute
		6	Nobody Else Allowed to Use the Name, Emblem and Authority of the Institute
3	Constitution, Functions, Duties and Authorities of the Council	7	Constitution of the Council
		8	Circumstances Wherein the Council Member's Seat to Remain Vacant
		9	Vacancy and Fulfillment
		10	Meeting and Decision of the Council
		11	Functions, Duties and Authority of the Council
		12	Actions Not To Be Invalid
		13	Committees of the Council
		14	Disciplinary Committee
		15	Executive Committee

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
3A	Accounting Standards Boards	15A	Constitution of Accounting Standards Board
		15B	Rights and Duties of Board
		15C	Seat not to retain
3B	Standards on Auditing Board	15D	Constitution of Standards on Auditing Board
		15E	Rights and Duties of Standards on Auditing Board
		15F	Seat not to retain
4	Membership of Institute	16	Membership of the Institute
		17	Fellow Chartered Accountant (FCA)
		18	Disqualification for Membership
		19	Name To Be Registered
		20	Membership Certificate
		21	Information to be furnished in the Event of Leave off the Profession or Change in Address
		22	Provision of Removal of Names and Re-instatement
		23	Certificate to be Cancelled

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
5	Examinations	24	Provision of Curricula and Course Books
		25	Certificates
6	Recognition of Professional Qualifications	26	Council to Recognize
		27	Recognition of Foreign Institute
7	Certificate of Practice	28	Certificate of Practice
		28A	Registration of Auditing Firms
		29	Prohibition to Undertake Audit Business Without a Certificate of Practice
		30	Special Provision in Relation to Registered Auditors
		30A	Limit of Audit Business
		30B	Upgrade of the Class of Certificate of Practice
		31	Matters to be Disclosed in the Report
		32	Publication of Member List
		33	Payment of Fees

Chapters & Sections

Chapter No	Chapter Name	Section No	Section Name
8	Conduct	34	Members to Observe the Conduct
		35	Complains to be Lodged
9	Funds of the Institute	36	Funds of the Institute
		37	Accounts and Audit of the Funds
10	Provision Relating to Employees	38	Executive Director
		39	Functions, Duties and Authorities of the Executive Director
		40	Other Employees of the Institute
11	Punishment	41	Punishment
12	Miscellaneous	42	Constitution of an Ad-Hoc Committee
		43	Protection in Favor of Acts Done in Good Faith
		44	Delegation of Authority
		45	Authority to Issue Directives
		46	Contact With His Majesty's Government
		47	Authority to Frame Regulations and Byelaws
		48	Authority to formulate Bye-laws
		49	Repeal and Protection

Chapter - 2 – Establishment of the Institute

❖ Section 3 Establishment of the Institute

- Institute established under the Nepal Chartered Accountants Act for the development of the accounting profession.
- Head office located in Kathmandu Valley.
- ICAN may establish:
  - ✓ Offices
  - ✓ Training Centers
  - ✓ Branches and Sub-branches
  - ✓ across Nepal as required.

❖ Section 4 The Institute to be an Autonomous Body

- ICAN is an autonomous body corporate.
- It has perpetual succession and its own seal.
- It can own and manage property.
- It can sue and be sued in its own name.

❖ Section 5 Objective of the Institute

- Regulate and develop the accounting profession.
- Promote ethical conduct among members.
- Increase public trust and recognition of the profession.
- Develop, protect and promote accountancy profession.
- Establish registration, evaluation and examination systems aligned with international standards.

❖ Section 6 Nobody Else Allowed to Use the Name, Emblem and Authority of the Institute

Chapter - 3 – Constitution, Functions, Duties and Authorities of the Council

SECTION 7 – CONSTITUTION OF COUNCIL

SEC 7

The Council shall be constituted with a **balanced representation** from CA members, RA members and experts nominated by Government.

COMPOSITION OF THE COUNCIL

10 MEMBERS

Ten persons elected by and amongst **CA members**

MEMBER

4 MEMBERS

Four persons elected by and amongst **RA members**

MEMBER

3 MEMBERS

Three persons nominated by Government, upon the recommendation of the **Auditor General**, from amongst the persons well experienced in the field of accounting profession

MEMBER

ELECTION OF PRESIDENT & VICE-PRESIDENT

The Council members shall elect a President and a Vice-President from the **Fellow Chartered Accountants (F.C.A)** Council members.



Both shall be elected from amongst the F.C.A Council members.

TERM OF OFFICE – PRESIDENT & VICE-PRESIDENT

1 YEAR

- The term of office of the President and the Vice-President shall be of **ONE YEAR.**
- Upon expiry of the term of office, they shall be eligible to be elected for **ONE MORE TERM.**

MAXIMUM **2 TERMS** CONSECUTIVELY

TERM OF OFFICE – COUNCIL MEMBERS

3 YEARS

- The term of office of the Council members shall be of **THREE YEARS.**
- Upon expiry of the term of office, they shall be eligible to be **RE-ELECTED** or **RE-NOMINATED.**

ELIGIBLE FOR **RE-ELECTION** OR **RE-NOMINATION**

KEY TAKEAWAY

The Council is a representative body formed to govern and regulate the accounting profession with democratic elections and fixed tenure to ensure transparency and accountability.

❖ Section 8 Circumstances Wherein the Council Member's Seat to Remain Vacant

- Ceases to be a member of the Institute (Not applicable to nominated members)
- Resignation accepted by the Council
- Absent from 3 consecutive Council meetings without notice/reason
- Term of office expires
- Violation of Code of Conduct under Section 34 is proved
- Death of the member
- **Resignation Procedure**
  - ✓ President submits resignation to the Vice-President.
  - ✓ Other Council members submit resignation to the President.

❖ Section 9 Vacancy and Fulfillment

- **Filling of Vacant Council Seat**
  - ✓ If an elected Council member's seat becomes vacant due to death, resignation, or disqualification:
    - ❑ Council may nominate a replacement if remaining term is less than 1 year.
    - ❑ Vacancy shall be filled through election if remaining term exceeds 1 year.
- If a **nominated Council** member's seat becomes vacant:
  - ✓ Replacement shall be made as per the same nomination procedure under Section 7.

❖ Section 10 Meeting and Decision of the Council

- Executive Director convenes Council meetings as directed by the President.
- Council shall generally meet **6 times a year**.
- Gap between two meetings shall not exceed **3 months**.

❖ Section 10 Meeting and Decision of the Council

- Meeting chaired by:
  - ✓ President
  - ✓ In absence, Vice-President
  - ✓ In absence of both, a member elected by Council members
- If 25% of Council members request in writing, meeting must be called within 15 days.
- 50% presence required for quorum.
- Majority decision prevails.
- In case of tie, Chairperson has casting vote.
- Executive Director authenticates Council decisions.
- Council may invite:
  - ✓ Government officials
  - ✓ National/foreign experts
  - ✓ Advisors
  - ✓ Prominent accounting professionals

    as observers.
- Other meeting procedures shall be determined by the Council itself.

❖ Section 11 Functions, Duties and Authority of the Council

- Conduct professional examinations for entry into accounting profession.
- Register members and Certificate of Practice (COP) holders.
- Grant membership to qualified applicants.
- Develop and promote the accounting profession.
- Determine qualifications for accounting professionals.

❖ Section 11 Functions, Duties and Authority of the Council

- Fix curriculum and practical training requirements.
- Organize classes, training and academic programs.
- Issue Certificate of Practice (COP).Provide career development opportunities to members.
- Monitor compliance with professional code of conduct.
- Take disciplinary action based on Disciplinary Committee recommendations.
- Issue accounting and auditing guidelines.
- Ensure compliance with Accounting Standards and Auditing Standards.
- Protect rights, interests and reputation of members.
- Advise Government on laws relating to finance, commerce, revenue and accounting.
- Maintain relations with international accounting bodies.
- Recommend accounting education standards.
- Organize seminars, workshops and professional training.
- Publish professional materials and maintain library.
- Approve Institute budget and manage funds.
- Recruit staff and determine remuneration.
- Provide Continued Professional Education (CPE).
- Develop Accounting Technician education system.
- Perform other functions under the Act, Regulations and Bye-laws.

❖ Section 12 Actions Not To Be Invalid

- Decisions of the Council remain valid even if:
  - ✓ A Council seat is vacant, or
  - ✓ A person without required qualifications was elected or nominated as a Council member.
- Such decisions shall not become invalid merely because of these reasons.

❖ Section 13 Committees of the Council

- **Standing Committees:** The Council may constitute the following Standing Committees:
  - ✓ Disciplinary Committee **Sec 14**
  - ✓ Examination Committee
  - ✓ Executive Committee **Sec 15**
  - ✓ Professional Guidance Committee
- Other Provisions
  - ✓ Council may form other committees as required.
  - ✓ Functions, duties and powers of committees shall be as prescribed.
  - ✓ Members of one committee cannot serve in another committee simultaneously, except the President and Vice-President.

SECTION 14 – DISCIPLINARY COMMITTEE

The Disciplinary Committee is constituted by the Council to inquire into acts of professional misconduct and uphold the integrity and reputation of the accounting profession.

COMPOSITION OF DISCIPLINARY COMMITTEE

1

1 FCA MEMBER

designated by the Council from amongst the **Council members**

CHAIRMAN

2

3 PERSONS

nominated by the Council from amongst the **Council members**

MEMBERS

3

2 PERSONS

nominated by the Council from amongst the **members**

MEMBERS

4

1 PERSON

nominated by the **Auditor General**

MEMBER

ROLE

To promote professional discipline, examine complaints fairly and recommend appropriate action as per the Act and Regulations.

KEY POINTS TO REMEMBER

- Total members = 1 + 3 + 2 + 1 = 7 persons
- Chairman must be a FCA member designated by the Council
- Only one person is nominated by the Auditor General

CHAPTER – 8
PROVISIONS RELATING TO COMPLAINTS, INVESTIGATION, AND REPORTS

Rule 80 Filing a Complaint

- Any concerned party/person may file a complaint with the Institute against a member, attaching all available facts.
- No fee shall be charged when a body of the Government of Nepal or any other body designated by the Council as exempt files a complaint.

Rule 81(1) Complaint Forwarded

Upon receiving the complaint pursuant to Rule 80, the Institute shall forward the complaint to the Disciplinary Committee for investigation.

Rule 82 Restriction on Participating in Meetings

If the member against whom a complaint is filed, or a partner/ employee or their relative is a member of the Committee, they shall not be allowed to participate in the meeting regarding that matter.

Rule 83 Limitation of Time for Investigation

- No action or investigation shall be conducted on a complaint regarding actions/operations carried out more than 3 years prior.
- Exception: If a request is received from an authorized government body for serious actions, or if the Council deems it appropriate, investigation can be conducted regarding that matter.

RULE 81 – PROCEDURE FOR INVESTIGATION OF COMPLAINTS

2 Rule 81(2) Notice to Accused

- Copy of complaint sent to member/firm asking why action should not be taken.
- Opportunity to submit written clarification with supporting evidence within minimum 15 days.

3 Rule 81(3) Submission of Defense

The member/firm must submit its defense/clarification within the time frame with objective evidence regarding the allegations.

4 Rule 81(4) & 81(5) Complainant's Response

- Defense copy sent to complainant with minimum 15 days to provide response.
- Complainant must send response within the time frame, mentioning any claim or evidence supporting the allegation.

5 Rule 81(6) Reply to Response

- Response copy sent to member/firm with minimum 15 days to state their stance or counter-arguments.

7 Rule 81(9) Statement & Hearing

- Committee may record statement of complainant or accused member or partner.
- Defense may be presented in person or through legal practitioner.

8 Rule 81(10) Investigation Continues

Even if no defense/response is received or not reasonable, or details/documents/information not received, Committee may proceed on the basis of available facts and evidence.

9 Rule 81(11) Other Procedure

Committee may adopt any other procedure if deemed appropriate. Such procedure must be mentioned in its report.

Rule 84(1) Submission of Report

After completing the investigation pursuant to Rule 81, the Disciplinary Committee shall submit a report containing its findings, a description of the investigation, and its opinion on the complaint to the Council.

Rule 84(2) Council shall resolve the complaint as follows:

(a) Archiving of ppert

If the Disciplinary Committee has recommended archiving the complaint, and the Council agrees, it shall give a directive to archive the complaint and inform the complainant accordingly.

(b) Guilty Finding

- If report concludes that the accused member/institution is guilty, the Council shall provide a copy of that report to the concerned member or institution.
- It must grant a reasonable opportunity to submit a clarification in writing, through a representative or by appearing in person, for a final time pursuant to Section 14(5) of the Act.
- If Council feels necessary to cross-examine any matter upon receiving the written clarification, it may send the matter back to the Disciplinary Committee to re-examine the issue and submit a report again.

(c) Determination of Punishment

After completing the procedures under Clauses (a) and (b), if guilt of the accused member or any partner of the institution is proved, punishment must be determined pursuant to Section 14(5) of the Act.

PUBLICATION OF DISCIPLINARY ACTION

The decision of disciplinary action taken by the Institute shall be published in a national-level newspaper or on the website of the Institute.

❖ Section 14 Disciplinary Committees

- Chairman or member cannot participate in meetings hearing complaints against themselves.
- Meeting procedures and tenure of Chairman/members shall be as prescribed.
- Disciplinary Committee has powers similar to a court for:
  - ✓ Summoning persons
  - ✓ Examining evidence and witnesses
- **14(5) Punishments Recommended to Council:** If a member is found guilty, the Council may impose:
  - ✓ **Reprimand**
  - ✓ **Removal** from membership for up to 5 years
  - ✓ **Prohibition** from practicing for a specified period
  - ✓ **Cancellation** of Certificate of Practice (COP) or membership
- Other Provisions
  - ✓ Concerned Council member cannot vote or participate in meetings discussing action against him/her.
  - ✓ Reasonable opportunity for clarification must be provided before punishment.
  - ✓ Aggrieved member may appeal to the Appellate Court.

SECTION 15 – EXECUTIVE COMMITTEE

The Executive Committee is the administrative body of the Council responsible for the day-to-day management and implementation of decisions of the Council.

Ensures efficient governance, timely decisions and effective execution of Council functions.

01 PRESIDENT OF COUNCIL



CHAIRMAN

President of the Council shall be the **Chairman**

02 VICE-PRESIDENT OF COUNCIL



VICE-CHAIRMAN

Vice-President of the Council shall be the **Vice-Chairman**



03 TWO PERSONS NOMINATED BY THE COUNCIL



MEMBERS

Two persons nominated by the Council from amongst the Council members shall be **Members**.

04 EXECUTIVE DIRECTOR



MEMBER-SECRETARY

The Executive Director shall be the **Member-Secretary** of the Executive Committee.

ROLE OF THE EXECUTIVE COMMITTEE

- Implements decisions of the Council
- Oversees day-to-day administration
- Ensures effective governance and coordination
- Supports achievement of objectives and strategic plans

KEY TAKEAWAY

The Executive Committee acts as the driving force for efficient management and execution of Council functions.

Chapter – 3A – Accounting Standards Boards
Chapter – 3B – Standards on Auditing Board

ACCOUNTING STANDARDS BOARD (Sec 15A – 15C) VS STANDARDS ON AUDITING BOARD (Sec 15D – 15F)

1 CONSTITUTION

ACCOUNTING STANDARDS BOARD (Sec 15A – 15C)

- 1 FCA member nominated by GON – Chairman
- Representative, Ministry of Finance – Member
- Representative, Office of the Auditor General – Member
- Representative, Office of the Comptroller General – Member
- Company Registrar, Company Registrar's Office – Member
- Director General, Department of Inland Revenue – Member
- Chairman, Securities Board/Nepal – Member
- Five Chartered Accountant members nominated by GON on recommendation of the Council – Member
- One Registered Auditor member nominated by GON on recommendation of the Council – Member

Tenure of Chairman, CA & RA : 3 years + Reappointment

STANDARDS ON AUDITING BOARD (Sec 15D – 15F)

- 1 FCA member nominated by GON – Chairman
- Representative, Ministry of Finance – Member
- Representative, Office of the Auditor General – Member
- Three Chartered Accountants nominated by GON on recommendation of the Council – Member
- One Registered Auditor nominated by GON on recommendation of the Council – Member

Tenure of Chairman, CA & RA : 3 years + Reappointment

2 RIGHTS & DUTIES

ACCOUNTING STANDARDS BOARD (Sec 15A – 15C)

- To develop accounting standards, on the basis of relevant International Accounting Standards, in order to govern and regulate financial reporting and accounting profession.
- To evolve appropriate process of development of accounting standards and publish material related to accounting standards.
- To redraft, improvise and revise standards.
- To interpret the standards.
- To undertake other related tasks related to accounting standards.

STANDARDS ON AUDITING BOARD (Sec 15D – 15F)

- To develop Standards on Auditing, on the basis of relevant International Standards on Auditing, in order to govern and regulate accounting and auditing profession.
- To evolve appropriate process of development of Standards on Auditing and publish material related to Standards on Auditing.
- To redraft, improvise and revise Standards on Auditing.
- To interpret the Standards on Auditing.
- To undertake other related tasks related to Standards on Auditing.

3 SEAT NOT TO RETAIN

ACCOUNTING STANDARDS BOARD (Sec 15A – 15C)

1. if resigned,
2. if remained absent for three consecutive board meeting without any information,
3. if convicted and penalized by the court in a criminal offense,
4. if declared insane,
5. if declared insolvent,
6. if dead,
7. in case of members of the Institute, if the name is removed from the Membership Register pursuant to Section 22 of the Act.

STANDARDS ON AUDITING BOARD (Sec 15D – 15F)

1. if resigned,
2. if remained absent for three consecutive board meetings without any information,
3. if convicted and penalized by the court in a criminal offense,
4. if declared insane,
5. if declared insolvent,
6. if dead,
7. in case of members of the Institute, if the name is removed from the Membership Register pursuant to Section 22 of the Act.

Chapter - 4 – Membership of Institute

❖ Section 16 Membership of the Institute

- **Classes of Membership**
  - ✓ Chartered Accountant (CA)
  - ✓ Registered Auditor (RA)
- **16(2) Eligibility for Chartered Accountant Membership:** Membership granted to a person who:
  - ✓ Held Class 'A' RA license or Class 'B' RA license based on CA qualification under the Auditors' Act, 2031, or
  - ✓ Passed Chartered Accountancy or equivalent course recognized by ICAN and completed practical training.
- **16(3) Eligibility for Registered Auditor Membership**
  - ✓ Granted to persons holding Class 'B', 'C' or 'D' audit license under the Auditors' Act, 2031 (1974).

❖ Section 17 Fellow Chartered Accountant (FCA)

- FCA membership may be granted to:
  - ✓ Members holding Class 'A' Registered Auditor Certificate under the Auditors' Act, 2031 at the commencement of this section.
  - ✓ Chartered Accountant members engaged in accounting profession for at least 5 years.

❖ Section 18 Disqualification for Membership

- Person not having qualifications under Section 16(2) and 16(3)
- Person below 21 years of age
- Insolvent person unable to pay debts
- Person convicted in a criminal offence involving moral turpitude
- Person declared insane

❖ Section 19 Name To Be Registered

- Eligible person must submit prescribed application with full details to the Institute.
- Prescribed fees must be paid before registration.
- Persons eligible under Section 16(3) must apply within 6 months from:
  - ✓ commencement of Sections 29 and 49, and
  - ✓ publication of notice in Nepal Gazette.
- Failure to apply within the time limit results in loss of eligibility for membership.

❖ Section 20 Membership Certificate

- Council shall register eligible applicant's name in the Membership Register.
- Membership Certificate shall be issued in prescribed format mentioning the class of membership.
- Separate Membership Register shall be maintained for each class of members.
- Other procedures relating to registration shall be as prescribed

❖ Section 21 Information to be furnished in the Event of Leave off the Profession or Change in Address

- Within 35 days

❖ Section 22 Provision of Removal of Names and Re-instatement

- **Grounds for Removal from Membership Register:** Council may remove a member's name if:
  - ✓ Convicted in a criminal offence involving moral turpitude
  - ✓ Failure to pay Institute fees
  - ✓ Violation of professional conduct under the Act/Rules
  - ✓ Unsound mind
  - ✓ Death

❖ Section 22 Provision of Removal of Names and Re-instatement

➢ Rule 47 – Removal of Name from Membership Register

The Council may remove a member's name from the Membership Register if:

- Member is punished with:
  - ✓ removal from membership, or
  - ✓ cancellation of COP/membership certificate under Section 14(5) *(Disciplinary Committee)*
- Member becomes disqualified under Section 18
- Required fees are not paid under Section 22(1)(b) *(Institute Fees)*
- Membership certificate or Certificate of Practice (COP) is cancelled under Section 23 *(Membership/ COP obtained by fraud or mistake)*
- Membership is cancelled under Rule 46(3) *(Membership fees not paid or CPE hours not fulfilled)*

➢ Restoration of Membership

- ✓ Removed member may apply for restoration with prescribed fees and reasonable grounds.
- ✓ Council may restore membership by reinstating the name in the Membership Register.

❖ Section 23 Certificate to be Cancelled

- Council may cancel Membership and Certificate of Practice (COP) if obtained:
  - ✓ by fraud, or
  - ✓ by mistake.
- Action can be taken after inquiry and confirmation.
- Such cancellation must be publicly notified.

Chapter - 5 – Examinations

Sec 24: Provision of Curricula and Course Books
Sec 25: Certificates

Chapter - 6 – Recognition of Professional Qualifications

Sec 26: Council to Recognize
Sec 27: Recognition of Foreign Institute

Chapter - 7 – Certificate of Practice

28. CERTIFICATE OF PRACTICE



1. Members, willing to carry out audit profession, shall make an application, in a prescribed format, for Certificate of Practice, along with the prescribed fees, to the Institute.



2. The Council, provided that the applying member as per sub-section (1), has fulfilled all conditions prescribed by the Council, shall provide a Certificate of Practice, in a prescribed format, to such member.



3. The Council shall ensure that the members observe or shall cause to observe conditions prescribed for members holding Certificate of Practice and may prescribe Code of Conduct for such members.

28a. REGISTRATION OF AUDITING FIRMS



1. Members, holding Certificate of Practice and willing to carry on audit business under the name of an accounting firm, shall apply to the Institute, in a prescribed format, for registration of such firm.



2. The other procedures relating to the registration of accounting firms shall be as prescribed.



3. The Council, after completion of the procedures mentioned in subsection (2), shall issue Certificate of Firm Registration in a prescribed format.

29. PROHIBITION TO UNDERTAKE AUDIT BUSINESS WITHOUT A CERTIFICATE OF PRACTICE



No one shall be allowed to undertake audit business without a Certificate of Practice.

Provided that this section shall not deem to restrain His Majesty's Government to regulate and cause to regulate, under separate arrangement, regarding audit of entities other than companies or commercial establishments registered under Company Act.

30. SPECIAL PROVISION IN RELATION TO REGISTERED AUDITORS



Notwithstanding anything mentioned elsewhere in this Act, the Council, subject to this Act, Regulations and bye-regulations framed under this Act, shall categorize the Registered Auditors existed at the commencement of this section and shall issue Certificate of Practice to carry out audit business as per the provisions of this Act.



Provided that such Registered Auditors shall not be deprived of the privileges provided under the Auditors' Act, 1974.

30a. LIMIT OF AUDIT BUSINESS



The limit of audit business, entitled to a Registered Auditor member holding a categorized Certificate of Practice pursuant to Section 30, shall be fixed by His Majesty's Government on recommendation of the Council.

30b. UPGRADE OF THE CLASS OF CERTIFICATE OF PRACTICE



The Council, applying the prescribed procedure, may upgrade the class of Certificate of Practice, issued to Registered Auditor members under section 30.

31. MATTERS TO BE DISCLOSED IN THE REPORT



The members holding Certificate of Practice shall fully disclose such matters, as prescribed, in their audit report.

32. PUBLICATION OF MEMBER LIST



The Institute shall, within three months of expiry of each fiscal year, publish a list of members and members holding Certificate of Practice.

33. PAYMENT OF FEES



Members, Members holding Certificate of Practice and accounting firms registered under section 28 (a) shall pay fees, as prescribed, to the Institute.

❖ Rule 50 – Validity and Renewal of Professional Certificate

- Professional Certificate (COP) remains valid till the end of the same fiscal year of issuance.
- **Renewal Timeline**
  - ✓ Renew within 60 days of expiry by paying prescribed renewal fee.
  - ✓ If not renewed within 60 days: Renew within next 60 days with 15% additional fee.
  - ✓ If still not renewed: Renew within further 60 days with 25% additional fee.
  - ✓ If not renewed within the above periods: Certificate is automatically cancelled.

❖ Rule 51 – Cancellation of Professional Certificate (COP)

- Professional Certificate shall be cancelled if:
  - ✓ Obtained by submitting false information
  - ✓ Member's name is removed from Membership Register
  - ✓ Member engages in non-accounting profession/business in violation of Rule 52(3)

❖ Rule 52 – Suspension of Professional Certificate (COP)

- **Grounds for Suspension:** Professional Certificate remains suspended if:
  - ✓ Council prohibits practice for a specified period under Section 14(5)(c)
  - ✓ Member voluntarily requests suspension with reasons
  - ✓ Member fails to complete required CPE credit hours under Rule 55
  - ✓ RA member enrolls in CA education during mandatory training period
- **Removal of Suspension**
  - ✓ Member may apply for lifting suspension along with renewal fee.
  - ✓ No renewal fee charged for suspension period.

❖ Rule 52 – Suspension of Professional Certificate (COP)

➢ **Restriction on Other Profession**

- ✓ COP holder cannot engage in non-accounting profession/business simultaneously.
- ✓ If intending to engage in another profession/business:
  - ❑ Application for suspension must be submitted at least 7 days before starting such activity.

❖ Rule 52A – Authorization to Conduct Audits

➢ Serving Registered Auditor (RA) members were allowed to conduct audits up to Ashad 2080 (Mid-July 2023) except for:

- ✓ Public companies and private companies exceeding NPR 1 Crore
- ✓ Educational institutions established as private companies exceeding NPR 2 Crores
- ✓ Urban Savings & Credit Cooperatives exceeding NPR 3 Crores
- ✓ Private and partnership firms/industries exceeding NPR 2 Crores

❖ Rule 53 – Audit Authorization Limit

➢ Audit Limit by COP Class

Class	Limit
CA/ RA Class “A”	No Limit
RA Class “B”	1 Arba
RA Class “C”	25 Crores
RA Class “D”	5 Crores

❖ Rule 53 – Audit Authorization Limit

- **Other Provisions:** Council may revise audit limits every 3 years based on:
  - ✓ Wholesale Price Index (WPI) published by Nepal Rastra Bank.
  - ✓ Revised limits become effective from Shrawan 1 of that year.

❖ Rule 53A – Audit Rights of Accounting Technicians

- Accounting Technicians (AT) with valid license may conduct audits up to NPR 20 Crores.
- Applicable to:
  - ✓ Existing AT license holders
  - ✓ Persons who passed AT education
  - ✓ Registered AT students passing within prescribed period

❖ Meaning of "Amount"

Amount means:

- Total assets or liabilities shown in Balance Sheet.
- If no Balance Sheet is prepared: Total income/expenditure or profit/loss amount shall be considered.

❖ Rule 56 – Non-Nepali Citizens Practicing Accounting Profession

- Foreign citizens must form a partnership firm with a Nepali citizen to practice accounting profession in Nepal.
- Nature, scope and limitations of such firms shall be determined by the Council.
- Foreign citizens already practicing at the commencement of the Regulations must register such partnership firm within 2 years.
- Non-Nepali citizen members cannot engage in businesses prohibited under:
  - ✓ Foreign Investment and Technology Transfer Act, 2075, or
  - ✓ other prevailing laws.

Chapter-8 Conduct

SECTION 34 – MEMBERS TO OBSERVE THE CONDUCT

TECHNIQUE 1
EASY MEMORY LINE & TABLE

MEMORY LINE:

"Follow Law, Audit Properly, Keep Secrets, Stay Independent, Verify Facts, Avoid Greed."



SUB-SEC	KEYWORD	EASY MEMORY TRICK
34(1)	Follow Act & Regulations	CA must obey the rulebook.
34(2)	No partnership with unlicensed person	Don't audit with fake CA friends.
34(3)	No fee sharing/ commission	Audit fee is not brokerage business.
34(4)	No threats or inducement	Don't scare or bribe clients for work.
34(5)	Maintain confidentiality	Client secrets stay secret.
34(6)	Verify before certifying	Check first, sign later.
34(7)	Disclose interest/conflict	Tell if you have interest in company.
34(8)	Report true material facts	Never hide important facts.
34(9)	Exercise due care	Be careful and professional.
34(10)	No percentage-based fee	No profit-sharing audit fee.
34(11)	No false statement	Never lie in reports.
34(12)	3-year cooling period	Can't audit old employer for 3 years.
34(13)	Proper appointment required	Check valid appointment first.
34(14)	Obtain sufficient information	Collect enough evidence before opinion.
34(15)	Other prescribed conduct	More ethics rules may come.

TECHNIQUE 2
GROUPING TECHNIQUE

A. ETHICS RULES (1–5)

34(1) Follow Act & Regulations
34(2) No partnership with unlicensed person
34(3) No fee sharing/commission
34(4) No threats or inducement
34(5) Maintain confidentiality

B. AUDIT QUALITY RULES (6–9)

34(6) Verify before certifying
34(7) Disclose interest/conflict
34(8) Report true material facts
34(9) Exercise due care

C. PROFESSIONAL INTEGRITY RULES (10–14)

34(10) No percentage-based fee
34(11) No false statement
34(12) 3-year cooling period
34(13) Proper appointment required
34(14) Obtain sufficient information

EXTRA (15)

34(15) Other prescribed conduct
More ethics rules may come.

TECHNIQUE 3
FUN STORY METHOD

THE STORY OF MR. HONEST AUDITOR



1. He follows the law.
2. Refuses fake CA partners.
3. Doesn't take commissions.
4. Doesn't threaten clients.
5. Keeps secrets safe.
6. Checks documents before signing.
7. Declares conflicts of interest.
8. Reports all important facts.
9. Audits carefully.
10. Refuses profit-based fees.
11. Never lies.
12. Waits 3 years before auditing old employer.
13. Accepts only valid appointments.
14. Collects enough evidence first.
15. Follows other ethics rules too.

EXAM HACK

- Write subsection number first
- Then write 2–3 keywords only
- Then explain briefly

EXAMPLE

34(5) – Confidentiality:
Member shall not disclose client information except where required by law.

❖ Section 35 Complaints to be lodged

- Any person may file a complaint against a member or COP holder for:
  - ✓ Violation of the Act or Regulations
  - ✓ Failure to follow prescribed code of conduct

- If the Executive Director finds reliable information of misconduct:
  - ✓ He shall submit the matter with supporting facts to the Council for necessary action.

Chapter-9 Funds of the Institute

Sec 36: Funds of the Institute
Sec 37: Accounts and Audit of the Funds

Chapter-10 Provision Relating to Employees

Sec38: Executive Director
Sec 39: Functions, Duties and Authorities of the Executive Director
Sec 40: Other Employees of the Institute

Chapter-11 Punishment

SECTION 41: PUNISHMENT

41(1)

A person, who carries out audit without obtaining a Certificate of Practice, pursuant to this Act, shall be liable of punishment.

- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(2)

A person, who in contravention of Section 6 uses the name or the seal of the Institute or exercises any type of authority bestowed to the Institute, shall be punished.

First offence:

- Fine up to **Rs. 1,000.**

Subsequent offence:

- Fine up to **Rs. 5,000**, or
- Imprisonment up to **6 months**, or
- Both.

Provided that this sub-section shall not apply to the organizations or university established under their own legislation or the units within the Institute.

41(3)

A person, who has not obtained a Certificate of Practice and is proved to have signed any document in capacity of the member holding Certificate of Practice, shall be liable to punishment.

- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(4)

A member, who commits any act contrary to the provisions of this Act or Regulations framed under this Act other than the provisions of this section, shall be punished.

- Suspension up to **5 years**,
- Fine up to **Rs. 2,000**, or
- Imprisonment up to **3 months**, or
- Both.

41(5)

A complainant who lodges a complaint, without any reasonable cause to make complaint and it is proved that the complaint was made with an intention to harass a member, shall be liable to punishment.

- Fine up to **Rs. 1,000**.

41(6)

The complain cases, except those to be heard under Section 14, lodged in the Council against any member, pursuant to Section 35, shall be instituted in the concerned Appellate Court.

- Shall be instituted in the concerned **Appellate Court.**

Chapter-12 Miscellaneous

Sec No	Section Heading
42	Constitution of an Ad-Hoc Committee
43	Protection in Favor of Acts Done in Good Faith
44	Delegation of Authority
45	Authority to Issue Directives
46	Contact With His Majesty's Government
47	Authority to Frame Regulations and Byelaws
48	Authority to formulate Bye-laws
49	Repeal and Protection

Suggested Answers

1. Nepal Chartered Accountants Act, 2053 restricts the sharing and distribution of auditing fees or professional remuneration.

a) Explain the legal and ethical implications of sharing auditing fees or paying commission out of professional remuneration as per the provision of the Act. (2)

b) Discuss the rationale behind such restrictions and how it helps maintain the integrity of the accountancy profession. (2)

c) List out the other 6 conducts to be observed by members as per Nepal Chartered Accountants Act, 2053 (3)

CA Membership Sep 2025

a) Section 34 of the Nepal Chartered Accountants Act, 2053 explicitly prohibits any member of the Institute of Chartered Accountants of Nepal (ICAN) from sharing or distributing auditing fees or professional remuneration with non-members. It also prohibits the payment of commission, brokerage, or similar amounts from professional fees to any person, including members. This provision upholds the principle that professional services shall be rendered independently, without undue influence or conflict of interest. Sharing of fees with non-professionals can result in ethical breaches, compromise professional judgment, and lead to commercialization of the profession, which is against the public interest. Violation of this section may lead to disciplinary actions by ICAN under Section 14 of the Act, including suspension or cancellation of membership, thereby affecting the member's career and reputation.

b) The main purpose of this restriction is to safeguard the independence, objectivity, and credibility of professional accountants. If fees are shared or commissions paid, it can create incentives for unethical practices, such as referral-based audits or compromising audit quality to maintain business relationships. By enforcing this provision, ICAN ensures that its members adhere to high ethical standards, avoid conflicts of interest, and maintain the trust of the public, clients, and regulatory authorities which ultimately assist in achieving the objectives of the Institute as provided under Section 5 of the Act. It also ensures that only qualified professionals benefit from the financial rewards of professional services.

c) As per Section 34(1) of the Nepal Chartered Accountants Act, 2053, following are the conduct to be observed by members of the Institute:

(1) Members and members holding Certificate of Practice shall fully abide this Act and the Regulations framed under this Act.

(2) Auditing, either in partnership or in collusion in any manner with a person who has not obtained the Certificate of Practice of one's class, is prohibited.

(3) One shall not share or distribute as profit the auditing fees or remuneration with any person other than a member of the Institute; and shall not pay any commission, brokerage etc. out of the professional fees earned to any person or member.

(4) One shall not, directly or indirectly, influence any person by way of fear, threat, terror or enticement in order to secure any professional business.

(5) One shall not disclose or divulge any information and explanations acquired in the course of professional service to any person other than the employer employing him and the person whom he is complied by the law to do so.

(6) Members holding Certificate of Practice shall not certify any financial statement or give report of any type until they or their partner or employee checks and verifies it.

(7) Member holding Certificate of Practice shall, while certifying financial statements or making report thereon of any corporate body in which he or his partner has interest, clearly mention the extent of his or his partner's interest therein. Provided that being merely a shareholder in a company shall not be deemed to have interest therein.

(8) Member holding Certificate of Practice shall, in order to truly present the financial statement certified by him, clearly indicate all the material facts or any false statements or explanations known to him or to the best of his knowledge.

(9) Members holding Certificate of Practice shall discharge their duties with due care in the course of their profession and shall draw attention of all concerned to all material facts which are or have taken place contrary to the prevailing law and do not comply with generally accepted principles of auditing.

(10) Members holding Certificate of Practice shall not base their remuneration as a percentage on the profit or on any other uncertain results.

(11) One shall not knowingly or recklessly mention any false matter in a notice, explanation or statement required under the prevailing law to be provided to any office, department of His Majesty's Government or any organization.

(12) One shall not perform audit of accounts of any organization where he has served until the elapse of at least three years of his leaving the service.

(13) A member holding Certificate of Practice shall not accept his appointment as an auditor of an organization without ascertaining that all required procedures for appointment as the auditor under the prevailing law has been duly fulfilled.

(14) One should have obtained sufficient information prior to give audit opinion.

(15) Other matters concerning the conduct to be observed by the members and members holding Certificate of Practice shall be as prescribed.

2. The Institute of Chartered Accountants of Nepal is establishment of widely considered significant milestone, particularly in the fields of audit and economy of Nepal. It was established under a special law, the Nepal Chartered Accountants Act, 2053. So, you are required to answer the following questions on the basis of the Act:(1.5+4+1.5=7)

a) What is the main objective behind enacting the Act?

b) What are the objectives for establishing The Institute of Chartered Accountants of Nepal (ICAN)?

c) What was the impact by the enactment of the Act? Explain pursuant to the repeal and saving provisions of the Act.

CA Membership Mar 2025

a) As per preamble of the Nepal Chartered Accountants Act, 2053, the main objective behind enacting the Act is to establish The Institute of Chartered Accountants of Nepal (ICAN) in order to enhance social recognition and faith in accounting profession by raising public awareness towards the importance of the accounting profession, towards economic and social responsibility of the accounting professionals and towards economic development of the country through the development of awareness among the accounting professionals about their responsibility towards the importance of accountancy in order to develop, protect and promote the accounting profession.

b) As per Section 5 of the Act, objectives for establishing The Institute of Chartered Accountants of Nepal (ICAN) are as follows:

- To play the role of a regulatory body to encourage the members to carry on accounting profession being within the extent of the code of conduct in order to consolidate and develop accounting profession as a cause for economic development of the nation.
- To enhance social recognition and faith in accounting profession by raising awareness of the general public towards the importance of accounting and the economic and social responsibility of professional accountants.
- To develop, protect and promote the accounting profession by enabling accounting professional understand their responsibility towards the importance of accounting profession and accountancy.
- To develop mechanism of registration, qualification and examination of accounting professionals in consonance with international norms and practices so as to make the accounting profession respectable and reliable.

c) Impacts by the enactment of the Nepal Chartered Accountants Act, 2053 pursuant to the repeal and saving provisions are provided under Section 49 of the Act as follows:

(1) The Auditors' Act, 2031, has been repealed.

(2) In case, an auditor recognized by the Office of the Auditor General is recognized by any prevailing law as an auditor for the purpose of that law, such recognized auditor shall, after the commencement of this Act, be deemed as the member holding Certificate of Practice referred to in this Act.

So, this provision ensures continuity and protection for auditors already practicing under prior laws, thereby facilitating a smooth transition to the new regulatory framework established by the Act.

3. Mr. Prem Bahadur, is a Registered Auditor (Class C) member of the Institute of Chartered Accountants of Nepal (ICAN) holding Certificate of Practice. He passed Chartered Accountancy Professional (CAPII) Examination of the Institute in June, 2023 and joined for articleship training under Shyam & Associates, Chartered Accountants. The articleship deed was signed and registered in ICAN. Mr. Prem Bahadur is undergoing articleship and carrying accountancy profession as well. Give your opinion on the following issues in the light of Nepal Chartered Accountant Laws. (4+2=6)

i) Is Certificate of Practice (COP) of Mr. Prem Bahadur subject to suspension?

ii) Examine the validity of the action of ICAN & Mr. Prem Bahadur.

CA Membership Sep 2024

i. Rule 52 of Nepal Chartered Accountants Rules, 2061 has laid down provisions for suspension of Certificate of Practice of members of the Institute. The Certificate of Practice shall be suspended in the following circumstances:

a) If it is prohibited by the Council to any member to carry accounting profession for a certain period pursuant to clause (c) of sub-section 5 of section 14 of the Act,
b) If the member applies for suspension of the Certificate of Practice to the Council for a certain period,
c) Not completed required Continued Professional Education hours pursuant to Rule 55,
d) If the Registered Auditor member has enrolled in Chartered Accountancy course, during the period of his/her articleship.

Conclusion: As Mr. Prem Bahadur has passed Chartered Accountancy Professional (CAP-II) Examination of the Institute and joined for articleship training under Shyam & Associates, Chartered Accountants, his COP shall be suspended during the articleship period.

ii. In the given case, Mr. Prem Bahadur, Registered Auditor member holding Certificate of Practice has passed CAP-II level examination of ICAN. He is required to undergo articleship training under accountancy practicing CA member of the Institute. His Certificate of Practice during the period of articleship shall be suspended.

ICAN has registered the articleship deed without suspending the Certificate of Practice of Mr. Prem Bahadur. The action of the Institute is not valid. Since, the Certificate of Practice of Mr. Prem Bahadur shall remain suspended during the period of articleship, he cannot carry accountancy profession during the same period.

4. One of your friends qualified from ICAEW is making a preliminary plan to obtain membership of ICAN. So, she enquired you about the time limit for renewal of membership along with the grounds under which such membership may be removed. Answer her query quoting the membership renewal and removal provision pursuant to Nepal Chartered Accountants Act, 2053 and its Rules, 2061. (7)

CA Membership Mar 2024

Section 22 of the Nepal Chartered Accountants Act, 2053 read together with Rule 46 of its Rules, 2061 prescribe legal provisions regarding the removal and renewal of membership.

Removal of membership:

Provisions regarding the removal of membership have been provided under Section 22 of the Act as follows:

(1) The Council may issue an order to remove the name of any member from the Membership Register on any of the following circumstances:

(a) If he is convicted by a court in a criminal offense involving moral turpitude and punished there for,

(b) If he fails to pay any fees required to be paid to the Institute,

(c) If he fails to abide by the professional conduct referred to in this Act and the Rules framed under this Act,

(d) If he becomes unsound-minded, or

(e) If he is dead.

(2) In case, a member whose name has been removed from the Membership Register pursuant to sub section (1) makes an application, along with the fees as prescribed, stating reasonable ground to restore his membership, the Council may consider restoring his membership by reinstating his name in the Membership Register.

Renewal of membership:

Further, Rule 46 of the Nepal Chartered Accountants Rules, 2061 provides following provisions regarding the renewal of membership:

(1) Every member shall update his/her membership by paying annual membership fee as prescribed by the Council from time to time within 60 days of commencement of fiscal year and completing the Continued Professional Education (CPE) equivalent to credit hours pursuant to Rule 55(1).

(2) If any member fails to renew the membership within 60 days of expiry of fiscal year, he/she may renew the membership within next 60 days by paying additional fee of 15%. If the member fails to renew the membership within such additional period as well, he may renew the membership within next 60 days by paying additional 25% fee in the prescribed fee.

(3) The membership of the member who has not paid the membership fee within the extended time limit of sub-rule (2) and not completed CPE hours pursuant to Rule 55(1) shall be ipso facto cancelled.
(4) Notwithstanding anything mentioned elsewhere in this Rule, if any member desires to pay the annual membership fee in advance, he may do so for any number of years.
However, after the payment of such an annual membership fee in advance, if any change occurs in the annual membership fee rate, the membership fee paid in advance shall be adjusted accordingly.

CA Membership Sep 2023 – No Questions Asked

5. State the qualifications to hold the membership and the formation of council of ICAN including the legal provisions as to the election of president and vice-president pursuant to the Nepal Chartered Accountants Act, 2053. (5)

CA Membership Mar 2023

There are two types of membership- Chartered Accountants and Registered Auditor and as per the Section 16 (2), the membership of Chartered Accountant shall, subject to Section 18, be provided to a person who: -

(a) Has, on the date of commencement of this sub-section, obtained the certificate of Registered Auditor of class 'A' pursuant to the Auditors' Act, 2031 or of class 'B' on the basis of qualification of Chartered Accountant.
(b) Has passed Chartered Accountancy or equivalent course from the Institute or other foreign accounting bodies recognized by the Institute and has received practical training relating to accounting profession.

Further Sub-section (3) provides that Subject to Section 18, Membership of Registered Auditor shall be granted, on the date of commencement of this sub-section, to a person holding audit license of class 'B', 'C' or 'D' acquired under the provisions of Auditor's Act, 2031.

Under Section 7 (1) a Council shall be formed with an objective to take up necessary actions required, to attain objectives of the Institute in a well-planned manner and to manage and supervise all activities of the Institute. The Council shall, except as otherwise provided elsewhere in this Act, exercise all authority and discharge all duties conferred on and assigned to the Institute subject to the Act, Regulations and Bye-laws framed under this Act.
Pursuant to Section 7(3) of the Act, the Council shall consist of the following Council members: -

Pursuant to Section 7(3) of the Act, the Council shall consist of the following Council members: -
(a) Ten persons elected by and amongst Chartered Accountant members - Member
(b) Four persons elected by and amongst Registered Auditors - Member
(c) Three persons nominated by the Government of Nepal, upon the recommendation of the Auditor General, from amongst the persons well experienced in the field of accounting profession - Member
Similarly, as per Sub-section (4), The Council members shall elect a President and a Vice-President from the Fellow Chartered Accountants (F.C.A) Council members referred to in clause (a) of subsection (3) and they shall remain in the post for one year and upon expiry of the term of office, they shall be eligible to be elected for one more term.

6. A professional accountant faces various threats from the client in his/her work and wants to alert and be safe from such threats. How can he/she safeguard and to address the threats so that he/she can perform the work without any pressure? Explain, referring the provisions of Code of Conduct of Institute of the Chartered Accountants of Nepal to safeguard the threats. (6)

CA Membership Sep 2022

Code of Conduct of ICAN Section 300.8 A1 Paragraphs120.10 to 120.10A2 set out requirements and application material for addressing threats that are not at acceptable level.
Section 300.8 A2 has defined the safeguard addressing example as follows:
Safeguards vary depending on the facts and circumstances. Examples of actions that in certain circumstances might be safeguards to address threats include:

- Assigning additional time and qualified personnel to required tasks when an engagement has been accepted might address a self-interest threat.
- Having an appropriate reviewer who was not a member of the team review the work performed or advise as necessary might address a self-review threat.
- Using different partners and engagement teams with separate reporting lines for the provision of non-assurance services to an assurance client might address self-review, advocacy or familiarity threats.
- Involving another firm to perform or re-perform part of the engagement might address self-interest, self-review, advocacy, familiarity or intimidation threats.
- Disclosing to clients any referral fees or commission arrangements received for recommending services or products might address a self-interest threat.
- Separating teams when dealing with matters of a confidential nature might address a self- interest threat

7. Mr. Amar, partner of XR & Associates, has accepted gift from their client in Dashain Festival. Under what circumstances the gift as taken by Mr. Amar is assumed as the guilty of misconduct? Answer it referring the provisions of code of conduct of ICAN. (6)

CA Membership Mar 2022

Code of conduct number 250.9 A3 has explained the circumstances when the gift deemed as guilty of misconduct as follows

The determination of whether there is actual or perceived intent to improperly influence behavior requires the exercise of professional judgment. Relevant factors to consider might include:

- The nature, frequency, value and cumulative effect of the inducement.
- Timing of when the inducement is offered relative to any action or decision that it might influence.
- Whether the inducement is a customary or cultural practice in the circumstances, for example, offering a gift on the occasion of a religious holiday or wedding.
- Whether the inducement is an ancillary part of a professional activity
- Whether the offer of the inducement is limited to an individual recipient or available to a broader group. The broader group might be internal or external to the employing organization, such as other customers or vendors.
- The roles and positions of the individuals offering or being offered the inducement.
- Whether the professional accountant knows, or has reason to believe, that accepting the inducement would breach the policies and procedures of the counterparty's employing organization.
- The degree of transparency with which the inducement is offered.
- Whether the inducement was required or requested by the recipient.
- The known previous behavior or reputation of the offeror.

8. Mr. B is one of the nominees of the Nepal Government to the Council of the Institute of Chartered Accountants of Nepal. Before he assumes the post of Council Member, he wants to get acquainted with functions, duties and power of Council. Suggest him stating what are the major functions, duties and power of Council under the Nepal Chartered Accountants Act, 2053? (7)

CA Membership Sep 2021

Section 11 of Nepal Chartered Accountants Act, 2053 mentions about the functions, duties and power of Council which are as follows:

(a) To conduct examinations of candidates who join the accountancy.

(b) To determine the procedures in relation to the membership of the Institute and registration of name as a member having obtained professional certificate.
(c) To provide a person who holds the required qualification with an appropriate type of membership of the Council pursuant to Section 16.
(d) To make coordinative development of the accountancy by having maximum utilization of the available means and resources.
(e) To determine the qualification required for efficient human resources for the development of the accountancy.
(f) To determine the type of curriculum and practical training required to pursue the qualification necessary for obtaining the membership.
(g) To carry out different teaching and training programs in cooperation with any university or other educational institute by the Institute itself.
(h) To grant the professional certificate to the members for carrying on the accountancy.
(i) To enhance the capacity of members by providing them with career development opportunities.
(j) To monitor as to whether or not the members or members having obtained the professional certificate have acted in conformity with the professional code of conduct prescribed for the members or members having obtained the professional certificate.
(k) In accordance with the recommendation of the disciplinary committee, to take necessary action against any members and members having obtained the professional certificate for their acts and actions in contravention of the professional code of conduct.
(l) To give theoretical or practical directions and guidelines in various aspects of the accountancy and auditing and carry out other functions as may be necessary for the professional development.
(m) To observe, or cause to be observed, accounting standards and standards on auditing provided or recommended by the Accounting Standards Board and Standards on Auditing Board, and to regulate whether such standards have been observed or not.
(n) To safeguard and promote the rights, interests and reputation of the members.
(o) To render advice and suggestion to Government of Nepal for the improvement of the various laws in force in the fields related with industry, commerce, finance, revenue and accountancy.
(p) To accept membership of the International Federation of Accountants, and regional and sub regional federations, and establish contact with the accountants institutes of other countries.
(q) To recommend appropriate educational standards for accounting education in coordination with universities and other educational institutes.
(r) To conduct necessary trainings, symposia and seminars in order to enhance professional efficiency of the registered auditors.
(s) To conduct short term or long term trainings, symposia etc. for the benefit of accountancy human resources in service.

(t) To publish materials relating to the accountancy.
(u) To operate a library relating to the accountancy.
(v) To determine the procedures to be followed by the committees to be formed by the Council.
(w) To approve the budget of the Institute and manage the funds.
(x) To appoint such employees as may be required for the Institute and prescribe their remuneration and other facilities.
(y) To provide on-going professional education for members.
(z) To develop educational system in order to prepare account technicians and do necessary acts pertaining thereto.
(ai) To carry out such other functions as are prescribed by this Act or the Rules and Bye-laws framed under this Act.
(bi) To carry out such other functions as may be necessary for the attainment of the objectives of this Act.

9. Mr. Bishnu Khadayat, a member of ICAN signed in the minute of Board of Directors of Pokhara Microfinance. He has signed in the minute with his profession title of Chartered Accountant. Latter, the minute is questioned for the requirements of the illegal transaction likely to be a crime. In relation to the activity of Mr. Bishnu is there any particular code of conduct to be abided by him? State the power of the Disciplinary Committee regarding the breaches of code of conduct as per the Nepal Chartered Accountants Act, 2053. (7)

CA Membership Sep 2021

ICAN Act, 2053 has provided the code of conduct that should be observed by the members of the ICAN. Section 34 of this Act has enumerated the various code of conducts for the member of ICAN. The following conducts are relevant to the activity of Mr. Bikash Bhattarai. *(0.5 mark to each point till 6 points =3 marks)*

(1) Members and members holding Certificate of Practice should fully abide by the Nepal Chartered Accountants Act, 2053 and the Regulations framed under this Act.
(2) One shall not disclose or divulge any information and explanations acquired in the course of professional service to any person other than the employer employing him and the person whom he is compelled by the law to do so.
(3) Member holding Certificate of Practice should, in order to truly present the financial statement certified by him, clearly indicate all the material facts or any false statements or explanations known to him or to the best of his knowledge.
(4) Members holding Certificate of Practice should discharge their duties with due care in the course of their profession and shall draw attention of all concerned to all material facts which are or have taken place contrary to the prevailing law and do not comply with generally accepted principles of auditing

(5) A member holding Certificate of Practice should not accept his appointment as an auditor of an organization without ascertaining that all required procedures for appointment as the auditor under the prevailing law has been duly fulfilled.
(6) One should have obtained sufficient information prior to give audit opinion.

Powers of the Disciplinary Committee have been provided under Section 14 of this Act, as under:
(1) A Disciplinary Committee shall be constituted to recommend the Council to take necessary actions after investigation upon complains lodged against any action, contrary to this code of conduct framed under this Act. *(1)*
(2) The Disciplinary Committee shall have the authority, similar to a judicial court, in respect of summoning concerned person and investigating evidences and witnesses. *(1)*
(3) The Disciplinary Committee shall recommend to the Council, along with its opinion and finding, for necessary action against a member, if found guilty, and the Council may, considering such a recommendation, impose any of the following punishment according to the degree of offense:- *(2)*
a. Reprimanding
b. Removing from the membership for a period up to five years,
c. Prohibiting from carrying on the accounting profession for any particular period,
d. Cancellation of the Certificate of Practice or membership.

10. Define the cooling off period for the engagement team members and what are the restrictions on activities during the cooling off period to the engagement team member in an audit according to the code of ethics of members of ICAN. (7)

CAPIII Dec 2022

Code of Conduct of the Institute of Chartered Accountants of Nepal has defined the cooling off period to the professional accountants as follows:
i. If the individual acted as the engagement partner for seven cumulative years, the cooling-off period shall be five consecutive years.
ii. Where the individual has been appointed as responsible for the engagement quality control review and has acted in that capacity for seven cumulative years, the cooling-off period shall be three consecutive years.
iii. If the individual has acted as a key audit partner other than in the capacities set out as above (i) & (ii) for seven cumulative years, the cooling-off period shall be two consecutive years.

If the professional accountant has provided the services in a combination of key audit partner roles, then the cooling off period will be as follows:

i. If the individual acted in a combination of key audit partner roles and served as the engagement partner for four or more cumulative years, the cooling-off period shall be five consecutive years.

ii. Subject to paragraph R540.16(a), if the individual acted in a combination of key audit partner roles and served as the key audit partner responsible for the engagement quality control review for four or more cumulative years, the cooling-off period shall be three consecutive years.

iii. If an individual has acted in a combination of engagement partner and engagement quality control review roles for four or more cumulative years during the time-on period, the cooling off period shall:
   a) As an exception to paragraph R 540.15 be five consecutive years where the individual has been the engagement partner for three or more years; or
   b) Be three consecutive years in the case of any other combination.

iv. If the individual acted in any combination of key audit partner roles other than those addressed in paragraphs R540.14 to R540.16, the cooling-off period shall be two consecutive years.

Service at a Prior Firm

R540.18 In determining the number of years that an individual has been a key audit partner as set out in paragraph R540.5, the length of the relationship shall, where relevant, include time while the individual was a key audit partner on that engagement at a prior firm.

Shorter Cooling-off Period Established by Law or Regulation

R540.19 Where a legislative or regulatory body (or organization authorized or recognized by such legislative or regulatory body) has established a cooling-off period for an engagement partner of less than five consecutive years, the higher of that period or three years may be substituted for the cooling-off period of five consecutive years specified in paragraphs R540.11, R540.14 and R540.16(a) provided that the applicable time-on period does not exceed seven years.

Restrictions on Activities During the Cooling-off Period

R540.20 For the duration of the relevant cooling-off period, the individual shall not:

(a) Be an engagement team member or provide quality control for the audit engagement;

(b) Consult with the engagement team or the client regarding technical or industry-specific issues, transactions or events affecting the audit engagement (other than discussion with the engagement team limited to work undertaken or conclusion reached in the last year of the individual's time on period where this remains relevant to the audit)

(c) Be responsible for leading or coordinating the professional services provided by the firm or a network firm to audit client, or overseeing the relationship of the firm or a network firm with the audit client; or;

(d) Undertake any other role or activity referred to above with respect to the audit client, including the provision of non - assurance services that would result in the individual

(e) Having significant or frequent interaction with senior management or those charged with governance

11. CA. Innovative is a new member of the Institute of Chartered Accountants of Nepal (ICAN). He argues that alike registered auditors, the council shall categorize CA members as well into 3 classes and limit in audit as per their categorization. Give your opinion upon the validity of his argument pursuant to Nepal Chartered Accountants Act, 2053 & Rules, 2061.

RTP June 2023

Legal provision:

As per section 30 of the Nepal Chartered Accountants Act 2053, notwithstanding anything mentioned elsewhere in this Act, the Council, subject to this Act, Regulations and bye-regulations framed under this Act, shall categorize the Registered Auditors existed at the commencement of this section and shall issue Certificate of Practice to carry out audit service as per the provisions of this Act. Provided that such Registered Auditors shall not be deprived of the privileges provided under the Auditors' Act, 1974.

Further, as per section 30A of the NCA Act, the limit of audit, entitled to a Registered Auditor member holding a Certificate of Practice categorized pursuant to Section 30, shall be as prescribed by the council taking approval of the Government of Nepal.

Case:
In the given case, CA. Innovative is a new member of the Institute of Chartered Accountants of Nepal (ICAN). He argues that alike registered auditors, the council shall categorize CA members as well into 3 classes and limit in audit as per their categorization.

Analysis:
Section 30 of the NCA Act has mandated the council to categorize only the Registered Auditors existed at the commencement of this section and issue Certificate of Practice (COP) to carry out audit service as per the provisions of this Act, not chartered accountant members. In addition, section 30A of idem Act has entitled the council, taking approval of the Government of Nepal, to limit audit for Registered Auditor members holding COP categorized pursuant to Section 30, not chartered accountant members.

Conclusion:
Hence, the argument of CA. Innovative for categorizing CA members as well into 3 classes and limiting their audit as per their categorization alike registered auditors is not valid in accordance with section 30 & 30A of the Nepal Chartered Accountants Act, 2053.

12. Steven, a British citizen, is an associate member of The Institute of Chartered Accountants in England and Wales (ICAEW). He is planning to obtain membership of The Institute of Chartered Accountants of Nepal (ICAN) under the Recognition Agreement concluded between ICAEW and ICAN. He has much curiosity about the ICAN specially the election system of the Council Members, President and Vice President. Further, he has concern about his voting right in such election after he becomes a member of the ICAN. So, he enquires you with following questions:

(a) How are the Council Members, President and Vice-President elected?

(b) Will he be eligible to caste vote in the election of the Council Members, President and Vice President after he becomes a member of the ICAN?

Explain him subject to the provisions of Nepal Chartered Accountants Act, 2053 and its Rules, 2061.

RTP June 2024

(a) Election of Council Members:

As per Rule 85 of the Nepal Chartered Accountants Rules 2061, the election of council members of ICAN gets conducted as follows:

(1) The election of council members shall be completed within Jestha end of every third year.
(2) The election of council member will be based on a single transferable vote system.
(3) Other procedures of the election shall be as prescribed in the Election Byelaw.

Further, as per Rule 88 of the Rules 2061, following persons are eligible to caste vote in the election of council members:

(1) Chartered Accountant members shall be voters in the election of the council members prescribed under Clause (a) of Sub-section (3) of Section 7 of the Act. Provided that foreign citizens who have obtained membership of the ICAN through Mutual Recognition Agreement with the foreign accounting body and similar other means cannot vote in the election of the council members.
(2) Registered Auditor members shall be voters in the election of council members prescribed under Clause (b) of Sub-section (3) of Section 7 of the Act.

Election of President and Vice President:

As per section 7(4) of the Nepal Chartered Accountants Act 2053, the council members shall elect a President and a Vice President from the Fellow Chartered Accountant Council members referred to in clause (a) of sub-section (3) of Section 7.

Further, as per Rule 86 of the Rules 2061, the election of President and Vice President shall be conducted as follows:

(1) The council members elected as per Rule 85 and nominated by the Government of Nepal shall elect the President and Vice President by the end of Ashadh annually from among the council members who have received membership of the Fellow Chartered Accountant (FCA) for a minimum of five years and have certificate of practice. The position of the President and Vice President elected under this Rule shall, ipso facto, remain vacant in the absence of his/her certificate of practice.
(2) Election of President and Vice President shall be done on the basis of simple majority.
(3) Within seven days after the completion of the election in accordance with Sub-rule (1), the immediate past President shall handover the charge of the position to the newly elected President.

(b) Subject to the proviso clause of Rule 88(1) of the Rules 2061, Steven being a foreign citizen having membership of the ICAN through Mutual Recognition Agreement with the ICAEW cannot vote in the election of the council members.
Further, as per Section 7(4) of the Act read together with Rule 86(1) of the Rules 2061, no person other than council members are only entitled to caste vote in the election of the President and Vice President. Hence, Steven shall not be eligible to caste vote in the election of the President and the Vice President as well.

13. General public and even governmental agencies frequently get confused between The Association of Chartered Accountants of Nepal (ACAN) and The Institute of Chartered Accountants of Nepal (ICAN) due to their resembling names. Realizing the fact, Mr. Daya, a Chartered Accountant member of the Institute, argues that ACAN has violated the Nepal Chartered Accountants Act, 2053 on the ground its name resembles the name of ICAN which has been prohibited by the Act. So, he believes a case needs to be filed against the ACAN.
Give your opinion upon the validity of his argument pursuant to Nepal Chartered Accountants Act, 2053 & Rules, 2061.

RTP Dec 2023

Section 6 of the Nepal Chartered Accountants Act, 2053 states that after the establishment of The Institute of Chartered Accountants of Nepal pursuant to this Act, nobody shall be allowed to use any name or emblem resembling the name of the Institute or to issue any type of certificate to be issued by the institute to anyone or to issue any order to anyone on behalf of the Institute including the exercise of any such authority bestowed to the Institute.
Further, as per section 41(2) of the Act, a person, who acts in contravention of Section 6 by using the name or the emblem of the Institute or exercising any type of authority bestowed to the Institute, shall be punished with a penalty of NPR 1,000 maximum on first conviction, and on any subsequent conviction thereafter, a maximum penalty of NPR 5,000 or imprisonment for a maximum period of 6 months or both. Provided that this sub-section shall not apply to the organizations or university established under their own legislation or the units within the Institute.
In the given case, Mr. Daya argues that The Association of Chartered Accountants of Nepal (ACAN) has violated the Nepal Chartered Accountants Act, 2053 on the ground its name resembles with the name of The Institute of Chartered Accountants of Nepal (ICAN).
As per section 6 of idem Act, it is true that nobody shall be allowed to use any name resembling the name of the Institute and violation of this provision is punishable under its section 41(2). However, this restriction is effective only for the organizations incorporated after the establishment of the ICAN. The ACAN was established in 2034, long before the establishment of ICAN in 2053.
Hence, though the name of ACAN resembles with name of the ICAN, the former has not violated the provision of section 6 of the Nepal Chartered Accountants Act, 2053.

14. The Institute of Chartered Accountants of Nepal (ICAN) received a complaint against Mr. Nilam Sharma, a member of ICAN alleging that he conducts audit in partnership with a person called Rabi Singh who has not obtained a certificate of practice of his class, hence, a complaint filed against him. Answer the following questions pursuant to the Nepal Chartered Accountant Act, 2053. ***(4+3=7 marks)***

i) How the complaint shall be processed by ICAN?

ii) What action can ICAN take against him?

CAPIII Dec 2019

Pursuant to section 35 of Nepal Chartered Accountants Act, 2053, where a member having obtained the professional certificate does not observe the code of conduct set forth in this Act or the Rules framed under this Act or such member violates this Act or the Rules framed under this Act, the concerned person may make a complaint to the ICAN against such member. In pursuance to section 35 of the above Act a complaint has been filed to ICAN against Mr. Nilam Sharma, a member of ICAN with the allegation that he conducts audit in partnership with a person called Rabi Singh who has not obtained a certificate of practice of his class, which is a prohibited act under section 34(2) of this Act. Pursuant to this section 34(2), auditing, either in partnership or in collusion in any manner with a person who has not obtained the certificate of practice of one's class, is prohibited.

Pursuant to section 35(2) of this Act, where there is found a fact to believe that a member having obtained the professional certificate has not observed the conduct required to be observed, the Executive Director shall submit a motion, accompanied by the available facts, to the Council of ICAN for taking action against such member. Thereupon, the Council of ICAN shall forward the complaint filed under Nepal Chartered Accountants Rules, 2061 to the Disciplinary Committee for investigation.

Pursuant to section 14(1) of this Act, there is a Disciplinary Committee constituted under Section 14 of this Act, to inquire into a complaint and recommend to the Council of ICAN for necessary action. The procedures of Disciplinary Committee are as prescribed in the Rules framed under the Act.

The Disciplinary Committee shall have the same powers as are vested in the court in respect of issuing an order to the concerned person, receiving evidence and examining witnesses. Pursuant to section 14(5) of this Act, the Disciplinary Committee shall make recommendation, alongwith its opinion and finding, to the Council of ICAN for taking necessary action against the member found guilty from its investigation; and the Council of ICAN may, in view of such recommendation, impose any of the following penalties on the concerned member, according to the gravity of the offence:

(a) Reprimanding;
(b) Removing from the membership for a period not exceeding five years;
(c) Prohibiting from carrying on the accountancy for any specific period;
(d) Cancelling the certificate of practice or membership.

Hence, the Council of ICAN shall take a decision to take appropriate action based on the above recommendation against Mr. Nilam Sharma if the Disciplinary Committee finds him guilty violating the code of conduct of ICAN.

Before imposing penalty as referred to in Sub-section (5) above, the Council of ICAN shall provide a reasonable opportunity to him to defend himself. If he is not satisfied with the decision made by the Council of ICAN to punish him, he can make an appeal to the concerned High Court pursuant to section 14(8) of this Act.

15. Mr. Kishor Nahata, a professional chartered accountant and member of ICAN performs his auditing services in a country other than Nepal also. He published his advertisement in the country other than Nepal explaining about his competency and skills to perform auditing, management and consulting services at very reasonable fee. He argues that it was permitted by the local ethical requirement of the country. How would you analyze the issue if you were a member of Disciplinary Committee of ICAN and the issue had been lodged before the committee? (8)

CAPIII Jun 2017

The issue mentioned in the question should be analyzed as per section 6 of the Code of Ethics issued by the ICAN to its members which states that a professional accountant qualifying in Nepal may reside in another country or may be temporarily visiting that country to perform professional services, in all circumstances, the professional accountant should carry out professional services in accordance with the relevant technical standard and ethical requirements. When a professional accountant performs services in a country other than Nepal and differences on specific matters exist between ethical requirements of the two countries, the following provision should be applied:

1. When the ethical requirements of the country in which the services are being performed are less strict than the ICAN Code of Ethics, then ICAN Code of Ethics should be applied.
2. When the ethical requirements of the country in which the services are being performed are stricter than ICAN Code of Ethics, their ethical requirement in the country where services are being performed should be applied.
3. When the ethical requirements of Nepal are mandatory for services performed outside that country and stricter than set out in (1) and (2) above, then the ethical requirements of Nepal should be applied.

Hence, in the given context Mr. Kishor Nahata will be liable for disciplinary action under the Codes of Ethics of ICAN.

16. Mr. Johnson, a Sri Lankan citizen passed CAP III level examinations from the Institute of Chartered Accountants of Nepal in the year 2016. He wants to practice accountancy profession in Nepal. He seeks your opinion in this regard. Please advise him in this regard as per Nepal Chartered Accountants Act and Rules.

RTP Jun 2018

Nepal chartered accountant Rules, 2061 provides opportunities to foreign nationals qualified from ICAN to practice the accountancy profession as follows:

Rule 56: Person other than Nepali citizen can practice accountancy profession:

(1) Notwithstanding anything contained anywhere in this Nepal Chartered Accountants Rules, 2061, any foreign citizen eligible according to these rules can perform accountancy profession in Nepal only after registering a firm in partnership with a citizen of Nepal.

(2) Nature, scope and limitations of the firm in partnership according to sub-rule (1) shall be as decided by the council.

(3) Notwithstanding anything contained anywhere in this Nepal Chartered Accountants Rules, 2061 a foreign citizen performing accountancy profession acquiring membership from the ICAN shall have to register a firm in partnership as stated in sub-rule (1) within 2 years of the date these rules came into effect.

Rule 58 (5) states the share of a foreign citizen as a partner in an accounting firm shall not exceed 51%.

References

- Nepal Chartered Accountants Act English – https://en.ican.org.np/_downloads/relatedact/nca_act_english_2007.pdf
- Nepal Chartered Accountants Act & Regulation Nepali – https://en.ican.org.np/_browsable/file/general/ICAN_Act_Regulation_new.pdf
- Handbook of the Code of Ethics for Professional Accountants 2023 – https://en.ican.org.np/site/show/code-of-ethics

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